

Industrial Enterprises Act, 2020

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Industrial Business Act, 2076 (2019)".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Industry" means an industry as per Section 17.

(b) "Industry Registration Body" means the Department, and the said term also denotes the department or office of the provincial government looking after industry administration.

(c) "Single Point Service Center" means the Single Point Service Center as per Section 37.

(d) "Transaction" means the act of producing and distributing goods or services by an industry according to its objectives, and the said term also denotes other transactions related to such production and distribution.

(e) "Fund" means the Fund as per Section 51.

(f) "Cottage Industry" means an industry as per clause (b) of sub-section (1) of Section 17.

(g) "Large Industry" means an industry as per clause (e) of sub-section (1) of Section 17.

(h) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(i) "Export-Oriented Industry" means an industry, except an energy-based industry, that exports more than at least forty percent of its production.

(j) "Board" means the Industrial and Investment Promotion Board constituted under Section 20.

(k) "Intellectual Property" means intellectual property including patent, design, trademark, service mark, geographical indication, trade secret, and the said term also denotes subjects defined as copyright by the prevailing law.

(l) "Medium Industry" means an industry as per clause (d) of sub-section (1) of Section 17.

(m) "Ministry" means the Ministry of the Government of Nepal looking after subjects relating to industry.

(n) "National Priority Industry" means an industry as per Section 19.

(o) "Micro Enterprise" means an industry as per clause (a) of sub-section (1) of Section 17.

(p) "Department" means the Department of Industry.

(q) "Small Industry" means an industry as per clause (c) of sub-section (1) of Section 17. Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024).(r1) "Startup Enterprise" means a Startup Enterprise as per Section 4a.

(s) "Fixed Capital" means property as per Section 18. Chapter-2
Provisions Relating to Industry Registration and Regulation

3. Requirement to Register an Industry: (1) No person shall establish or operate, or cause to be established or operated, an industry without registering it under this Act.

Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024). (1a) Notwithstanding anything contained in sub-section (1), if an industry that was established and operating without registration at the time of commencement of this sub-section submits an application for industry registration within one year from the date of commencement of this sub-section, the Industry Registration Body shall, upon collecting the fine leviable pursuant to sub-section (1) of Section 43, register such industry. (2) Notwithstanding anything contained in sub-section (1), an industry that was registered and operating under the prevailing law relating to industrial business at the time of commencement of this Act shall not be required to register the industry again under this Act. (3) An industry established as a branch industry before the commencement of this Act shall, within one year of the commencement of this Act, complete the process under this Act and get it registered as a separate industry. (4) If an industry intends to produce its product or any part thereof from a place different from the place where the industry originally existed, or if an industry that does not wish to register as a separate industry within the period mentioned in sub-section (3), it may establish and operate such branch industry as a unit industry. (5) While establishing a unit pursuant to sub-section (4), the same procedure as for establishing a new industry must be completed, excluding registration under this Act. (6) Records of production and transactions from the unit established pursuant to sub-section (4) must be prepared and maintained by the respective unit, and such records must also be sent to the main office of the industry. 4.

Provisions Relating to Industry Registration: (1) A person, firm, or company desiring to establish the following industries under this Act shall submit an application for registration to the Department in the prescribed format along with prescribed details and documents:- (a) Industries listed in Schedule 1 requiring permission, (b) Industry to be established with foreign investment, (c) Industry relating to subjects listed in Schedule 5 of the Constitution of Nepal, (d) Industry having jurisdiction over two or more provinces, (e) Industry relating to educational counseling services concerning diplomatic affairs, Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024). (f) Large Industry. (2) Registration, renewal, regulation, and other industry administration-related work of industries other than those mentioned in sub-section (1) shall be done by the respective provincial government. Provided that, in the case of industries requiring permission, permission must be obtained. (3) Notwithstanding anything contained in sub-section (2), in relation to the industries to be registered, renewed, and regulated by the provincial government, until the respective provincial government makes arrangements by law, the Federation shall carry out functions related to industry administration, including registration, renewal, and regulation of such industries. (4) Notwithstanding anything contained in sub-sections (1) and (2), industries producing atomic energy, radioactive materials, and industries related to nuclear energy and uranium-based energy shall be established and operated only by the Government of Nepal. (5) While applying pursuant to sub-section (1), the details or documents to be attached with the application may also be submitted through electronic means (online), and the certification of related documents may be done by means of electronic signatures. (6) If, upon examining the application received under sub-section (1), the required details and documents appear incomplete, the Industry Registration Body shall prescribe a period of Amended by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024). twenty-one days to submit the missing details or documents and immediately inform

the applicant. (7) If the applicant fails to submit the details or documents requested pursuant to sub-section (6), or if the process under this Act or the regulations made under this Act does not appear to be completed, the Industry Registration Body may, stating reasons, reject the application for industry registration. If a decision is made to reject it, a written notice of the same, stating reasons, shall be given to the concerned applicant within five days of the decision. (8) A person, firm, or company desiring to establish industries other than those mentioned in sub-section (1) shall submit an application for industry registration to the Industry Registration Body of the respective province along with details and documents as provided for by the provincial law.

Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024). (9) Notwithstanding anything contained elsewhere in this Section, if, within fifteen days from the date of filing an application under sub-section (1), no missing document or detail is requested, or, upon submission of missing documents or details, no decision regarding industry registration under this Act is made within fifteen days from the date of submission of such documents or details, then after the expiry of such period, there shall be no impediment to establishing or operating an industry other than those under sub-section (4). The Department shall issue an industry registration certificate under this Section to the industry thus established or operated. Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024). 4a. Registration and Operation of Startup Enterprise: (1) The Industry Registration Body under this Act may register the following types of enterprises, which are commercially operated by a firm or company using innovative exploration and creative thinking in the development, production, operation, and distribution of any goods or services and processes, as a Startup Enterprise:-

- (a) Registered as a new company, private firm, or partnership firm,
 - (b) Innovative ideas and technology are used in the production of goods or services,
 - (c) Has the potential for rapid scaling,
 - (d) Has not exceeded a period of ten years from the date of registration as per clause (a), and
 - (e) The annual turnover of any fiscal year after registration does not exceed fifteen crore rupees.
- (2) The Government of Nepal, provincial government, or local level may operate an Entrepreneurship Promotion Center to promote a Startup Enterprise pursuant to sub-section (1).
- (3) The regulation of a Startup Enterprise shall be done by the registration body of such enterprise.
- (4) The body registering a Startup Enterprise pursuant to sub-section (1) must prepare and maintain a separate record of the details thereof.
- (5) Other provisions relating to the registration and operation of Startup Enterprises shall be as prescribed. 5.

Obligation to Issue Industry Registration Certificate: (1) If, upon examining the application received pursuant to Section 4, the required details or documents appear to be complete, the Industry Registration Body shall, within five days of receiving such details or documents, register the industry as requested by the applicant and issue a certificate of industry registration in the prescribed format. (2) While issuing the certificate of industry registration pursuant to sub-section (1), the following details, among others, must also be specified in the certificate:- (a) Date of issuance of certificate, (b) Period within which commercial production or transaction must commence, (c) Conditions to be complied with by the industry, (d) Other conditions prescribed by the Industry Registration Body by decision, according to the nature. (3) Notwithstanding anything contained in sub-section (1), in the case of a Micro Enterprise, an application for industry registration

may be submitted to the Industry Registration Body within one year from the date of operation of such industry. 6. Right to Complain: (1) If the Industry Registration Body refuses to register an industry, the dissatisfied party may file a complaint within thirty days to the Ministry in case of a decision made by the Department, and to the Ministry looking after industry of the respective province in case of a decision made by the provincial Industry Registration Body. (2) Upon receipt of a complaint filed pursuant to sub-section (1), the complaint-hearing body shall conduct necessary inquiry and make a necessary decision in relation thereto within thirty days from the date of filing of the complaint. (3) Other provisions relating to complaints shall be as prescribed. 7.

Obligation to Mitigate Adverse Environmental Impact: (1) An industry registered under Section 5 shall, if required to conduct an environmental impact assessment or initial environmental examination under the prevailing law, establish, operate, commence commercial production, and transaction of such industry only after the report thereof is approved. (2) Notwithstanding anything contained in sub-section (1), if an industry's Deleted by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024) , capacity expansion, addition of objectives, change of objectives, relocation or transfer of industry requires environmental impact assessment or initial environmental examination under the prevailing law, the same must also be done. (3) The responsibility of mitigating adverse environmental impacts caused or likely to be caused to the environment during industry operations shall lie with the concerned industry. (4) The Industry Registration Body may, as necessary, monitor, issue directives, take action, or recommend and send to the concerned body for action regarding whether the environmental impact mitigation has been done pursuant to this Section. (5) An industry not required to conduct an environmental impact assessment or initial environmental examination while submitting an application for industry registration shall submit an Amended by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024).Environmental Management Plan, stating the basis and reasons for not requiring an environmental impact assessment or initial environmental examination and the measures to be adopted to mitigate potential adverse impacts on the environment during the establishment and operation of its industry. 8. Requirement to Obtain Permission: (1) Notwithstanding anything contained elsewhere in this Chapter, prior to registering an industry listed in Schedule 1, permission must be obtained from the Board.

Provided that, prior to registering industries listed in serial number 1 of the same Schedule, permission must be obtained from the Council of Ministers, Government of Nepal. (2) A person desiring to register an industry requiring permission under sub-section (1) shall submit an application to the Board through the Industry Registration Body, in the prescribed format, along with prescribed details. (3) If, upon examining the application under sub-section (2) and the related documents, the required details or documents appear to be attached, the Industry Registration Body shall, within seven days, forward it to the Board with its opinion for a decision. (4) The Board must decide whether to grant or refuse permission to register an industry concerning the application received under sub-section (2) within thirty days. (5) While deciding to grant permission from the Board under sub-section (4), the Board may also prescribe additional necessary conditions and criteria. (6) If permission is granted by the Board under sub-section (4), the Department shall provide a permission letter in the prescribed format, along with the information of the decision, to the concerned applicant within five days of such decision. (7) A person receiving the permission letter under sub-section (6) shall submit an application for industry registration to the Industry Registration Body within the time period mentioned in the permission letter. Deleted by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024). (8) If the Board decides not to grant permission for industry registration under sub-section (4), the Industry Registration Body shall inform the

applicant of the same within five days of the decision. Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024).(7a) If unable to register pursuant to sub-section (7), an application shall be submitted to the Board for extension of the period of the permission letter, stating the reasons thereof. Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024).(7b) If the reasons stated in the application received under sub-section (7a) appear reasonable, the Board may extend the period of the permission letter. (9) The applicant obtaining permission under sub-section (6) shall not, in any manner, transfer, sell, or change the ownership of such permission letter prior to operating the industry or commencing its commercial production or transaction.

Provided that, if any applicant dies prior to operating the industry or commencing commercial production or transaction, it shall not be an impediment for the successor of the deceased as per the prevailing law to carry out the remaining work in the capacity of an applicant. 9. Obligation to Provide Information on Commencement of Industry Operation, Commercial Production or Transaction: (1) An industry registered under this Act shall commence industry operation, its commercial production or transaction within the period mentioned in the industry registration certificate and shall inform the Industry Registration Body of the same within thirty days.

(2) If an industry fails to commence industry operation or its commercial production or transaction as per sub-section (1), an application may be submitted to the Industry Registration Body as prescribed for extension of the period, stating the reasons thereof. Deleted by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024).

(3) Deleted by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024)

(4) If, upon examining the application received under sub-section (2) Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024) , the contents appear reasonable, the Industry Registration Body may, considering the progress of works including construction work required for establishing the industry and the nature of the industry, upon collecting Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024).a delay fee as prescribed, extend the period for commencement of operation or commercial production or transaction of such industry as prescribed. Provided that, if the period for commencement of operation, commercial production or transaction of any industry needs to be extended more than three times, the Department shall forward it to the Board with its opinion for approval.

(5) Deleted by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024)

(6) Deleted by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024)

(7) Deleted by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081 (2024)

10. Monitoring and Inspection: (1) The Ministry or the Industry Registration Body may, from time to time, monitor and inspect the industry regarding compliance or non-compliance with this Act, the regulations made under this Act, and the conditions mentioned in the industry registration certificate.

(2) An employee or official deployed for the monitoring and inspection of an industry under sub-section (1) may, in the course of monitoring and inspection, enter the premises of the concerned industry, collect audio-visual and other information and statistics as needed, examine necessary documents, and demand any other information or details.

Provided that, where a matter concerning the protection of intellectual property as per the prevailing law is involved and confidentiality must be maintained, it shall be in accordance with the prevailing Nepal law on intellectual property.

(3) Providing such demanded information or details under sub-section (2) shall be the duty of the concerned industry.

(4) If, from the information or details received under sub-section (3), it appears that the concerned industry faces any kind of problem in its operation, the Industry Registration Body may, after consulting with the concerned industry, provide necessary facilitation to such industry. 11. Requirement to Obtain Approval for Industry Relocation: (1) If an industry registered to operate in one place needs to be relocated elsewhere for any reason, an application shall be submitted to the Industry Registration Body in the prescribed format, stating the reasons thereof. Deleted by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024). Amended by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024). (2) Upon receipt of an application under sub-section (1), the Industry Registration Body may, upon the recommendation of the concerned local level where the industry is to be relocated, and by conducting an environmental study if required, grant approval for the industry relocation. Information regarding the approval for industry relocation thus granted shall be provided to the Ministry looking after industry of the concerned province and the local level.

(3) Other provisions relating to industry relocation shall be as prescribed. 12. Requirement to Obtain Approval for Capital Expansion, Capacity Expansion, and Addition or Change of Objectives: (1) If an industry intends to increase its existing capital or capacity, or add, change, or modify its objectives, it shall submit an application to the Industry Registration Body in the prescribed format for approval thereof.

(2) If, upon examining the application received under sub-section (1), the contents appear reasonable, the Industry Registration Body shall, after completing the procedure as prescribed, grant approval for capital expansion, capacity expansion, addition, change, or modification of objectives of such industry within ninety days. If the classification of the industry changes due to such capital expansion, capacity expansion, addition, change, or modification of objectives, the concerned industry shall get the record updated and mentioned in the industry registration certificate.

(3) Notwithstanding anything contained in sub-sections (1) and (2), approval of the Industry Registration Body shall not be required for Micro Enterprises or cottage and small industries with a fixed capital up to one crore rupees which do not require permission, when increasing capital or capacity.

Provided that, if an environmental impact assessment or initial environmental examination becomes necessary due to such capital expansion, capacity expansion, or addition, change, or modification of objectives, the report thereof must be approved as per the prevailing law.

(4) If an industry produces more than the projected output by enhancing managerial efficiency without altering the previously installed machinery and equipment, it shall not be deemed to have made a capacity expansion. Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024). 12a. Requirement to Obtain Approval for Ownership Transfer or Change: (1) If the ownership of an industry needs to be transferred or changed, an application shall be submitted to the Industry Registration Body for approval, attaching the documents as prescribed.

(2) If, upon examining the documents submitted under sub-section (1), it appears reasonable to grant approval, the Industry Registration Body shall grant approval within thirty days from the date of receipt of the application. 13. Obligation to Submit Details: (1) After commencing commercial production or transaction, every industry shall submit details as prescribed to the Industry Registration Body within six months from the end of each fiscal year.

(2) The details required to be submitted under sub-section (1) may also be submitted through electronic means as prescribed.

(3) Notwithstanding anything contained in sub-section (1), if an industry is closed for more than one fiscal year, or if there is no production or transaction for any reason, a nil statement for that period must be submitted. Provided that, if such industry informs the Industry Registration Body that the industry is closed and states it in the records, it shall not be necessary to submit details for the entire closed period. 14. Obligation to Give Notice if Industry is Closed: If an industry registered under this Act is closed for any reason by the concerned industrialist, or if the commercial production or transaction of the industry is suspended, notice thereof shall be given to the Industry Registration Body as prescribed within thirty days from the date of such closure or suspension. 15. Application May be Made for Cancellation of Industry Registration: (1) If an industry cannot be operated for any reason, an application may be submitted to the Industry Registration Body in the prescribed format, along with details or documents as prescribed, for the cancellation of registration of such industry.

Provided that, if the industry is in the process of liquidation under the prevailing law, it shall be governed by the same law. (2) Upon receipt of an application under sub-section (1), if the Industry Registration Body finds that the concerned industry has settled its government liabilities including taxes and other liabilities, it shall cancel the industry registration after completing the procedure as prescribed. Information of the cancellation of registration thus made shall be given to the concerned applicant and all concerned government bodies. (3) Notwithstanding anything contained in sub-section (1) or (2), in the case of industries under a company that has gone into liquidation proceedings under the prevailing law, it shall be governed accordingly, and if the industry is thus canceled, the liquidator shall provide the information thereof to the concerned Industry Registration Body. 16. Obligation to Maintain Records: (1) The responsibility of securely maintaining records relating to industry administration, including industry registration, renewal, name transfer, name change, relocation, capacity expansion, capital expansion, addition or change of objectives, or industry cancellation, shall lie with the Industry Registration Body. (2) An industry or a person having ownership in such industry may, if documents or records under sub-section (1) relating to the industry are required, submit an application to the Industry Registration Body in the prescribed format. (3) Upon receipt of an application under sub-section (2), the Industry Registration Body shall, upon collecting the prescribed fee, certify and provide the documents or records available in the Department. (4) If, for any reason, the records held by the Industry Registration Body are destroyed or cannot be found, the Industry Registration Body may, based on documents or records available in other concerned government bodies and other documents submitted by the concerned industry, recreate the records and provide copies under sub-section (3). (5) If, after issuing a copy under sub-section (4) by the Industry Registration Body, details relating to the records of that industry are subsequently proven otherwise, the Industry Registration Body may, by decision, cancel such copy. (6) Documents or records relating to any industry held by the Industry Registration Body shall not be provided to anyone other than the concerned industry or the person having ownership in such industry.

Such electronic records may be exchanged with other government bodies through electronic means by developing procedures. Chapter-3

Classification of Industry and Fixed Capital

17. Classification of Industry: (1) For the purposes of this Act, industries are classified as follows:-

(a) Micro Enterprise: An industry, other than an industry requiring permission under Section 8, having the following conditions shall be deemed a Micro Enterprise:-

- (1) Having a fixed capital of up to a maximum of twenty lakh rupees, excluding land and buildings,
- (2) The entrepreneur himself/herself is involved in the operation and management of the industry,
- (3) Having up to a maximum of nine workers including the entrepreneur,
- (4) Annual turnover is less than one crore rupees,
- (5) If engines, equipment, or machines are used, the capacity of the electric energy, fuel, or other oil consumed in the engine, equipment, or machine is twenty kilowatts or less.

(b) Cottage Industry: An industry having the following conditions shall be deemed a Cottage Industry:-

- (1) Based on traditional skills and technology,
- (2) Labor-intensive and based on specific skills or local raw materials and local technology, art, and culture,
- (3) If engines, equipment, or machines are used, using electric energy of a capacity up to a maximum of fifty kilowatts,
- (4) Industries as listed in Schedule 2.

(c) Small Industry: An industry, excluding Micro Enterprise and Cottage Industry, with a fixed capital of up to fifteen crore rupees.

(d) Medium Industry: An industry with a fixed capital exceeding fifteen crore rupees and up to fifty crore rupees.

(e) Large Industry: An industry with a fixed capital exceeding fifty crore rupees.

(2) The industries mentioned in sub-section (1) are further classified based on the nature of goods or services produced by such industries as follows:-

(a) Energy-based Industry: Industries listed in Schedule 3 engaged in the business of generating energy.

(b) Manufacturing Industry: Industries that produce goods by using or processing raw materials, auxiliary raw materials, or semi-processed raw materials.

(c) Agriculture and Forestry-based Industry: Industries listed in Schedule 4 relating to producing goods from raw materials based on agriculture or forest produce or related to agriculture or forest produce.

(d) Mineral Industry: Industries producing metals or non-metal minerals by mining or processing minerals.

(e) Infrastructure Industry: Industries listed in Schedule 5 that construct and operate physical infrastructure.

(f) Tourism Industry: Industries listed in Schedule 6 relating to tourism services.

(g) Information Technology, Communication Technology, and Broadcasting Technology-based Industry: Industries listed in Schedule 7 that provide information, communication, or broadcasting technology services by using technology for collection, processing, and transmission of information.

(h) Service-based Industry: Industries listed in Schedule 8 that produce or provide services.

(3) If capital expansion, capacity expansion, addition, change, or modification of objectives of an industry occurs as per Section 12, such industry shall be deemed automatically classified into the class it falls under as per sub-section (1).

(4) Notwithstanding anything contained elsewhere in this Section, the Government of Nepal may, upon the recommendation of the Board, by publishing a notice in the Nepal Gazette, include any industry in the

classification of industries or make arrangements for an industry included in one class to remain in another appropriate class.

(5) If cooperative societies registered under the prevailing law, of the type as prescribed, wish to register an industry to be owned by such society, the industry may be registered under this Act.

(6) If industries registered before the commencement of this Act wish to be classified under this Act, the Industry Registration Body may update the classification by completing the procedure as prescribed.

(7) The Government of Nepal may, by publishing a notice in the Nepal Gazette, make necessary modifications to the classification under sub-section (1) or (2).

18. Fixed Capital of Industry: (1) For the purpose of this Act, while assessing the fixed capital of an industry, it shall be assessed based on the following property:-

- (a) Land and physical structures built or improved underground, in space, water, or underwater,
- (b) Physical structures built on land (such as drainage, internal roads, drinking water structures, water supply system),
- (c) Office, factory, building, or warehouse of the industry,
- (d) Residential building built for employees or workers,
- (e) Electricity supply and related equipment and systems,
- (f) Machinery, equipment, tools, and their spare parts,
- (g) Means of transport,
- (h) Office supplies and equipment of a capital nature,
- (i) Fixtures and furniture,
- (j) Communication materials and related equipment and systems.

(2) In addition to the property mentioned in sub-section (1), the following expenses incurred before the establishment of the industry or during various stages of construction shall also be assessed as the fixed capital of the industry:-

- (a) Technical and supervision expenses to be capitalized,
- (b) Pre-investment and pre-operating expenses,
- (c) Interest expenses to be capitalized,
- (d) Environmental study and research expenses incurred before the operation of the industry.

19. National Priority Industries: Industries listed in Schedule 9 shall be deemed National Priority Industries.

Chapter-4 Provisions Relating to Industrial and Investment Promotion Board

20.

Formation of Board: (1) An Industrial and Investment Promotion Board is constituted as follows:- (a) Minister or Minister of State for Industry, Commerce and Supplies - Chairperson (b) Member, National Planning Commission (looking after the industry sector) - Member (c) Governor, Nepal Rastra Bank - Member (d) Secretary, Ministry (looking after subjects relating to industry) - Member (e) Secretary, Ministry of Finance - Member (f) Secretary, Ministry of Labour, Employment and Social Security - Member (g) Secretary, Ministry of Land Management, Cooperatives and Poverty Alleviation - Member (h) Secretary, Ministry of Forests and Environment - Member (i) Chief Executive Officer, Investment Board Nepal - Member (j) Joint Secretary, Industrial and Investment Promotion Division, Ministry - Member (k) President, Federation of Nepalese Chambers of Commerce and Industry - Member (l) President, Confederation of Nepalese Industries -

Member (m) President, Federation of Nepalese Cottage and Small Industries - Member (n) President, Women Entrepreneurs' Federation - Member (o) Two persons nominated by the Ministry including at least one woman entrepreneur from among experts in the industry sector - Member (p) Director General, Department of Industry - Member-Secretary. (2) Notwithstanding anything contained in clause (a) of sub-section (1), where both a Minister and a Minister of State are appointed in the Ministry, the Minister of State shall be a member of the Board. (3) The Board may, if deemed necessary, invite an expert on the relevant subject, any official or officer-level employee of the Government of Nepal or provincial government, to the meeting of the Board. (4) A meeting of the Board may be held at least once every two months and at any time as necessary. (5) The Member-Secretary of the Board shall, in consultation with the Chairperson of the Board, determine the agenda to be presented in the Board meeting and provide information thereof to all members at least twenty-four hours prior to the Board meeting. (6) If any member of the Board has a personal concern or interest in relation to any agenda to be presented for decision in the Board meeting, he/she shall not participate in the decision-making process concerning such agenda. (7) If a decision appears to be made contrary to sub-section (6), such decision shall be void ab initio. (8) The decisions made by the Board shall be certified and maintained by the Member-Secretary. (9) The Secretariat of the Board shall be located in the Department. (10) Other procedures relating to the Board meeting shall be as determined by the Board itself. 21.

Functions, Duties, and Powers of the Board: (1) In addition to the functions, duties, and powers specified elsewhere in this Act, the functions, duties, and powers of the Board shall be as follows:- (a) To recommend to the Government of Nepal for policy formulation and policy decisions relating to industrial promotion, investment protection, enhancement, and industrialization, (b) To regularly review the policy, legal, institutional, and procedural structures and working systems relating to the overall industrialization of the country and recommend to the Government of Nepal for necessary improvements therein, (c) Subject to the prevailing law, to recommend to the Government of Nepal for making necessary policy decisions relating to foreign investment and technology transfer, (d) To recommend to the Government of Nepal for policy formulation and policy decisions relating to industrial pollution control, (e) To evaluate and review the overall status of industrial development of the country and provide suggestions and recommendations to the Government of Nepal to take necessary steps, (f) To hear grievances of industrialists and resolve or cause to resolve problems and provide guidance to concerned bodies, (g) To recommend to the Government of Nepal if additions, deletions, or changes need to be made in the level, classification, and nature of industries, (h) To conduct or cause to conduct studies, research, and surveys as necessary in the context of enhancing domestic and foreign investment in the industrial sector, (i) To carry out or cause to carry out necessary works for creating a competitive industrial environment through effective, coordinated, and harmonious cooperation among the public, private, and cooperative sectors, (j) To provide policy guidance and make necessary arrangements for coordination on matters requiring coordination among provincial and local levels for industrial business development and expansion, (k) To facilitate the resolution of any obstruction, hindrance, or ambiguity arising in the implementation of any law relating to industries, (l) To coordinate or facilitate the operation of the Single Point Service Center, (m) To perform or cause to perform other functions as prescribed. (2) The Board may delegate some of its functions, duties, and powers to any body or official of the Government of Nepal. (3) The Board shall submit an annual report of its own work to the Ministry within thirty days from the end of the fiscal year. The Ministry shall publish such report on its website. 22.

Obligation to Maintain Confidentiality: (1) Any information coming to one's knowledge in the course of the Board's work shall not be unauthorizedly provided to any other person or used or caused to be used for the benefit, interest, or advantage of anyone. (2) If the Chairperson, member, Member-Secretary, invited person,

or employee of the Board does any act contrary to sub-section (1), he/she shall be deemed to have not followed official conduct, and a record of such member who breaches confidentiality shall be maintained. 23. Provisions Relating to Provincial Industrial and Investment Promotion Board: (1) For promoting investment in industries registered and operating in a province, a Provincial Industrial and Investment Promotion Board may be constituted under the provincial law. (2) The functions, duties, and powers of the Provincial Industrial and Investment Promotion Board established under sub-section (1) (ta) Expenditure incurred on methods and equipment for preventing and controlling pollution, or for recycling or reusing waste materials to minimize environmental impact, may be deducted up to fifty percent of the adjusted taxable income of the industry or business in the same year. Expenditure exceeding the limit of the adjusted taxable income of such industry or business may be capitalized at the beginning of the following income year and depreciated. (tha) The entire expenditure invested in machinery or equipment that contributes to reducing energy consumption by enhancing energy efficiency shall be deductible for income tax purposes. (da) Of the expenditure incurred for entrepreneurship enhancement, research and development, and creation of new technology to increase the productivity of the industry, up to fifty percent of the adjusted taxable income of all industries and businesses operated by that person may be deducted.

Expenditure exceeding the limit of the adjusted taxable income may be capitalized at the beginning of the following income year and depreciated.

(dha) Expenditure incurred by the industry for business-related market promotion, surveys, and advertising, up to the prescribed limit, shall be deductible for income tax purposes.

(na) Expenditure incurred as prescribed for the security of the physical assets of the industry, and the expenditure on premiums actually paid for the insurance thereof, shall be deductible for income tax purposes.

(pa) Expenditure incurred by the industry for the domestic protection of industrial property under intellectual property registered in Nepal shall be deductible for income tax purposes.

(pha) Fees incurred by the industry for registering abroad for the protection of intellectual property obtained by it shall be deductible for income tax purposes.

(ba) Of the amount given as donation or gift by the industry to an institution entitled to tax exemption, an amount equal to one hundred thousand rupees or five percent of the adjusted taxable income of that industry for that income year, whichever is lower, may be deducted for income tax purposes.

(bha) In a particular situation, the Government of Nepal may, by publishing a notification in the Nepal Gazette, prescribe that the amount spent or donated by any industry for any specified work may be deducted, wholly or partially, for the purpose of income assessment.

(3) Notwithstanding anything written in sub-section (2), industries related to tobacco products and alcoholic beverages, other than the industry mentioned in clause (gha) of that sub-section, shall not be entitled to any of the concessions and facilities mentioned therein.

Provided that such industries shall be entitled to deduct expenditure incurred under the prevailing law for the long-term interest or welfare of their workers and employees, expenditure invested in methods and equipment for preventing and controlling pollution, recycling waste materials, or minimizing environmental impact, expenditure invested in mechanical equipment that contributes to reducing energy consumption by enhancing energy efficiency, and actual expenses for business promotion including expenditure on research and development.

(4) An industry that may be eligible for more than one concession under this section in respect of the same income shall be entitled to only one concession of its choice.

(5) If an industry, other than those related to tobacco products, alcoholic beverages, and casinos, capitalizes its retained profits into shares for the capacity expansion of the same industry or for another productive, energy-related, or agriculture and forest produce-based industry, there shall be a one hundred percent exemption on the dividend tax leviable on such capitalization in the form of dividend distribution.

(6) Cottage industries and small industries having a fixed capital of up to one crore, which were registered and in operation at the time of commencement of this Act, and which are registered and commence operation under this Act, shall be entitled to a fifty percent exemption on the income tax leviable on them. 25. Exemption, Facility or Concession relating to Customs Duty: An industry registered under this Act shall be granted exemption from customs duty as follows:-

(ka) In the case of industries that have exported without availing the facility of bonded warehouse or cash deposit (passbook), the Ministry of Finance shall determine the Duty Drawback rate and publish a notice in the Nepal Gazette.

The Duty Drawback amount according to the rate so determined shall be refunded by the Ministry through the Single Point Service Center.

(kha) If an industry that has not obtained a bonded warehouse license exports its products through a letter of credit or through the prevailing banking system, or sells them domestically in convertible foreign currency, it may import the raw materials or auxiliary raw materials and packaging materials not produced in Nepal required for producing such goods by depositing a security for the customs duty leviable on such imports, subject to the prescribed conditions and procedures.

(ga) Notwithstanding anything written in clause (kha), in the case of packaging materials not produced in Nepal, such industry shall only be entitled to the facility under clause (kha) if the Department certifies that such materials are not produced in Nepal and recommends granting the facility.

(gha) The customs duty leviable on raw materials, auxiliary raw materials, and packaging materials required by an industry for its production shall generally be at a rate one level lower than the customs duty rate leviable on the import of finished goods produced from such raw materials.

(nga) Machinery or generators of ten kilowatts or more capacity, or industrial equipment imported by an industry for its business purposes, shall be subject to customs duty at a minimum rate.

(cha) Machinery and scientific equipment imported by a quality testing laboratory for the purpose of quality testing, and machinery and equipment imported by an industry for research and development, shall be subject to customs duty at a minimum rate.

(cha) The customs duty paid by an industry producing intermediate goods on production materials used in industrial goods to be exported shall be refunded to the industry producing such intermediate goods based on the quantity exported. Provided that a refund shall not be given if an application is not submitted within one year of the export. 26. Other Facilities and Concessions for Micro Enterprises: (1) Notwithstanding anything written in the prevailing law, no fee or charge shall be leviable for registering a micro enterprise under this Act.

(2) Micro enterprises that were registered and in operation at the time of commencement of this Act, and

which are registered and commence operation under this Act, shall be entitled to a one hundred percent income tax exemption. 27.

Additional Facilities for Women Entrepreneurs: (1) Notwithstanding anything written in the prevailing law, if an industry or firm is registered with sole ownership of a woman entrepreneur, a thirty-five percent exemption shall be given on the fees or charges leviable under the law for registering such industry or firm. (2) Notwithstanding anything written in the prevailing law, a twenty percent exemption shall be given on the fees leviable under the prevailing law for registering industrial property used in an industry registered with sole ownership of a woman entrepreneur. (3) If a woman entrepreneur wishes to establish a new industry within any industrial zone or industrial village, the body operating such zone shall give priority in providing space. (4) If an industry with sole ownership of a woman entrepreneur requests a loan for the purpose of exporting its industrial products, export credit may be provided through the banking system from the fund for providing credit to women entrepreneurs, as prescribed, based on the financial status of the woman entrepreneur's business. 28. **Special Provisions relating to Industries Operating in Industrial Zones:** The Government of Nepal may make special arrangements regarding incentives, exemptions, facilities, or concessions for industries operating within industrial zones, industrial clusters, industrial corridors, and industrial villages. 29.

Additional Facilities and Concessions: In addition to the exemptions, facilities, and concessions mentioned in Sections 24, 25, 26, 27, and 28, the following additional facilities and concessions may be given to the following industries:- (ka) Forest-based industries may be provided with the right to use a specific forest area under the prevailing law on covenant or lease by prescribing necessary conditions. (kha) No fee or royalty leviable under the prevailing law shall be charged on electricity produced by an industry for its own purposes. (ga) If an industry produces surplus electricity for its own purposes and wishes to sell it, such electricity may be sold under the prevailing law at a rate mutually agreed upon, based on the quantity of electricity to be sold. (gha) The Government of Nepal may provide additional facilities and concessions, by publishing a notification in the Nepal Gazette, to export-oriented industries, industries to be established in special economic zones or government or private industrial zones as prescribed. (nga) For industries established with national priority or maximizing the use of domestic raw materials, labor, and skills, or by inventing technology or goods within Nepal, the Government of Nepal may, upon the recommendation of the Board, provide additional facilities and concessions by publishing a notification in the Nepal Gazette. (cha) Based on the proportion of time without electricity supply, the Government of Nepal may provide an exemption on the demand charge imposed on the electricity tariff paid by the industry, according to the prescribed basis and by following the prescribed procedure. (cha) To establish industries in very underdeveloped regions, the Government of Nepal may provide grants as seed capital to cooperatives, micro enterprises, cottage and small industries, as prescribed by publishing a notification in the Nepal Gazette. (ja) Industries operated with foreign investment may be permitted to import goods produced by the parent company located abroad for a certain period, for the purpose of producing new goods and market development and promotion, subject to the prescribed conditions and limits. (jha) For productive industries as per sub-section (2) of Section 17, except for tobacco and alcohol industries, agriculture and forest produce-based industries, and mineral industries, the Government of Nepal may provide incentives, exemptions, facilities, or concessions as prescribed. (nya) Micro, cottage, and small industries may be granted exemption from customs duty leviable on the import of new technologies such as machinery, equipment, and tools required for enhancing the capacity of their industry. (ta) The Government of Nepal may make special arrangements regarding incentives, exemptions, facilities, or concessions for industries operating within industrial zones, product-specific zones, and industrial villages. (tha) The Government of Nepal may provide additional incentives, exemptions, facilities, or concessions to industries to be established in very underdeveloped,

underdeveloped, and less developed regions.

Added by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2024.(da) The body registering the industry may prescribe the standard for waste (wastage) of raw materials when an industry established under the prevailing law uses raw materials according to its approved raw material consumption capacity. Added by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2024.(dha) For industries related to the information technology sector established with an investment of more than one billion, the Government of Nepal may provide incentives and facilities as prescribed. Added by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2024.(na) The Government of Nepal, Provincial Government, or Local Level may provide incentives, exemptions, concessions, or financial and non-financial facilities to startup enterprises. Added by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024.(ta) Any industry may, with the approval of Nepal Rastra Bank under the prevailing law, obtain a loan by entering into a project loan or project financing agreement with a foreign financial institution. Added by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024.(tha) For information technology-based industries engaged in software development, data processing, business process outsourcing, or knowledge process outsourcing with an annual turnover exceeding five crore rupees, the Government of Nepal may provide facilities or concessions by publishing a notification in the Nepal Gazette.

30. Provision relating to Land: (1) The concerned entrepreneur shall purchase the land required for industries registered under this Act or the prevailing law by themselves, according to the prevailing law. Provided that if an entrepreneur operating an industry as prescribed is unable to purchase the land required for the industry, and makes a request stating the same for purchasing land or getting land provided, the body registering the industry shall make necessary coordination and facilitation for purchasing land or providing land.

(2) The process for coordination and facilitation for providing land and other arrangements shall be as prescribed. 31.

Providing Land on Lease: (1) If land owned by the Government of Nepal is required to operate large industries and industries with national priority, such industries may submit an application, as prescribed, to the body registering the industry, specifying the area of land required, requesting that the land be provided. (2) Upon receipt of an application under sub-section (1), the body registering the industry shall submit it to the Ministry to initiate necessary action regarding providing the land required by the industry. (3) Upon receipt of an application under sub-section (2), the Government of Nepal may provide such land on lease to the concerned industry for the purpose of operating the industry, under the prevailing law. (4) The amount payable by the industry for land provided on lease under sub-section (3) and other terms relating to the lease shall be as mentioned in the agreement entered into between the Government of Nepal and the concerned industry. (5) If an industry operating after obtaining land on lease under this section ceases to operate for any reason, the lease agreement for the land provided under sub-section (3) by the Government of Nepal shall automatically terminate, and such land shall be deemed to have been automatically repossessed by the Government of Nepal without compensation. (6) Other arrangements relating to providing land on lease to industries shall be as prescribed. 32. Exemption from Maximum Ceiling on Land: (1) If the land required by an industry exceeds the maximum ceiling on land that may be held under the prevailing law, such industry may submit an application to the body registering the industry to obtain an exemption to hold land up to such excess amount. (2) Upon receiving an application under sub-section (1), the body registering the industry shall make necessary inquiry and submit a report with its opinion to the Ministry. (3) Subject to the prescribed criteria, based on the needs of the industry and as mentioned in the approved scheme or project proposal of

the industry, the Government of Nepal may, upon receipt of an application under sub-section (1), grant an exemption to hold land exceeding the ceiling.

Land granted an exemption exceeding the ceiling in this manner shall not be used for any purpose other than the purpose for which the exemption was granted.

(4) The body registering the industry may monitor or cause to be monitored, as prescribed, whether the land for which the industry has received an exemption from the ceiling under the prevailing law is being used according to the approved purpose, and may issue necessary directives.

(5) If it is found that a directive given by the body registering the industry under sub-section (4) has not been complied with, the Government of Nepal may repossess the land exceeding the ceiling that such industry was permitted to hold, without compensation, under the prevailing law. Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024.(6) An industry permitted to hold land exceeding the ceiling under the prevailing law may, based on the Detailed Project Report (DPR), mortgage up to fifty percent of the purchased land to banks and financial institutions to obtain loans for enhancing the industry's capacity in the area determined by the body registering the industry. Provided that, in the case of a project implemented under an arrangement where, subject to the condition prescribed while granting permission to hold land exceeding the ceiling, the entire project is to be transferred to the relevant level of government or its body after a prescribed period, according to an agreement entered into with the government of that level or its body or a license issued by the government of that level, this sub-section shall not be deemed to prevent the land exceeding the ceiling from also being mortgaged to banks and financial institutions for obtaining loans. The loan liability shall not transfer to the relevant level of government or its body based solely on allowing such mortgage to banks and financial institutions. Explanation: For the purpose of this sub-section, "capacity enhancement" means investment made for infrastructure expansion or purchase and installation of machinery to increase the production and productivity of the industry in accordance with the objectives stated in the industry's memorandum.

(7) The maximum quantity of land an industry may hold, the provision for providing land exceeding the ceiling, and the criteria including the conditions to be complied with by the industry in that regard, subject to the prevailing land law, shall be as prescribed. 33. Guarantee of Incentives, Exemptions, Facilities or Concessions: (1) No provision shall be made that reduces the incentives, exemptions, facilities, or concessions provided to an industry under this Act.

Provided that nothing in this section shall be deemed to prevent the provision of additional incentives, exemptions, facilities, or concessions. (2) An industry that, immediately before the commencement of this Act, was operating after obtaining permission or registration under the then prevailing Industrial Enterprises Act, 2073, shall, in the case of incentives, exemptions, facilities, or concessions with a specified period, continue to receive them under that Act, and in the case of those without a specified period, receive incentives, exemptions, facilities, or concessions under this Act. (3) An industry registered or permitted before the commencement of this Act but commencing commercial production or business only after the commencement of this Act shall receive exemptions, facilities, or concessions under this Act. Provided that if the period for receiving incentives, exemptions, facilities, or concessions under the then prevailing law on industrial enterprises in force at the time of obtaining registration or permission for such industry is longer than the period provided by this Act, or if such incentives, exemptions, facilities, or concessions are not available under this Act, such industry shall receive incentives, exemptions, facilities, or concessions under the then prevailing law on industrial enterprises. (4) The procedure relating to incentives, exemptions,

facilities, or concessions to be provided to industries shall be as prescribed. 34. Not to be Nationalized or Acquired: (1) No industry registered under this Act shall be nationalized. (2) No industry shall be acquired, directly or indirectly, except for a public purpose. If acquisition is necessary for a public purpose, the proper procedure under the prevailing law must be followed. 35. Provision relating to Industrial Security: The Government of Nepal shall provide industrial security as prescribed, as required, to an industry established under the prevailing law. 36. Not to Misuse Incentives, Exemptions, Facilities or Concessions: (1) The incentives, exemptions, facilities, or concessions received by an industry under this Act shall be used only for the purpose for which they were provided. (2) If any industry commits any act contrary to this Act or the rules made under this Act, such industry shall not be provided with the incentives, exemptions, facilities, or concessions under this Chapter. Chapter-6 Provisions relating to Single Point Service Center 37.

Establishment of Single Point Service Center: (1) For the purpose of providing services, incentives, exemptions, facilities, or concessions to which an industry or investor is entitled under this Act and other prevailing laws through simple and easy procedures, and making available from one place in a timely manner the functions to be performed by various bodies of the Government of Nepal, as well as providing industry administration-related services from permission for establishment, registration, expansion, to dissolution of industries, the Government of Nepal may establish and operate a Single Point Service Center as prescribed. (2) The location of the Single Point Service Center under sub-section (1), the services to be provided to industries through the Center, and the representation of bodies in the Center shall be as prescribed. (3) For representation of bodies in the Single Point Service Center, the concerned body shall deploy the necessary number of employees. While deploying, the authorized officer shall also delegate necessary powers to such employees, subject to the prevailing law. (4) Other arrangements relating to the Single Point Service Center shall be as prescribed. (5) Until a Single Point Service Center is established under sub-section (1), the Government of Nepal shall, by publishing a notification in the Nepal Gazette, form a Single Point Service Operation Committee. 38.

Functions, Duties and Powers of Single Point Service Center: (1) The functions, duties, and powers of the Single Point Service Center shall be as follows: (ka) To perform tasks related to industry and business administration, including registration, permission or licensing, renewal, business authorization, capacity enhancement, and dissolution (excluding liquidation) of companies, firms, or industries, under the prevailing law. (kha) To perform tasks related to the approval of foreign investment under the prevailing law. (ga) To perform tasks related to labor permits and work consents under the prevailing law. (gha) To perform tasks related to visa facilities under the prevailing law. (nga) To perform tasks related to initial environmental examination and environmental impact assessment under the prevailing law. (cha) To coordinate with concerned bodies regarding providing infrastructure services such as electricity, water, communication facilities, land, and roads required by industries, and to perform tasks related to being a focal point among other bodies. (cha) To implement or cause to be implemented decisions made by the Government of Nepal regarding providing incentives, exemptions, facilities, or concessions to industries and investors under the prevailing law. (ja) To perform tasks related to foreign exchange approval under the prevailing law. (jha) To provide permanent account numbers under the prevailing law. (nya) To perform tasks related to obtaining export-import code numbers provided by the Department of Commerce, Supply and Consumer Protection and the Department of Customs, and facilitation of bonded warehouses. (ta) To perform tasks delegated by the Board under its functions, duties, and powers. (tha) To take applications on matters requiring approval from bodies such as mines, and coordinate with those bodies to provide approval letters. (da) To identify documents required for industry and business registration, take them in electronic form, and develop and implement a system for inter-body use through electronic means across all bodies. (dha) To make necessary

coordination and facilitation for obtaining land required by industries, assist in providing land on lease, and make necessary coordination for providing land exceeding the ceiling. (na) If goods require an import license, to grant permission or make a recommendation for it under the prevailing law. (ta) To establish and operate an investment portal and provide investment-related information and details. (tha) To perform all types of recommendations and facilitation required by industries and businesses. (da) To implement or cause to be implemented decisions or directives of the Ministry and the Board. (dha) To perform other functions prescribed by the Government of Nepal by publishing a notification in the Nepal Gazette. (2) A decision made by the Single Point Service Center under this section shall be implemented by the concerned body. (3) Arrangements relating to the operation, management, and services, facilities, and concessions provided by the Single Point Service Center, and the procedure thereof, shall be as prescribed.

Chapter-7

Provisions relating to Sick Industries

39. Identification of Sick Industries: (1) An industry that has been in operation for a minimum of five years from the date of commencing commercial production or business, and due to circumstances beyond its control and not due to its own will or managerial weakness, has been operating at thirty percent or less of its installed capacity for three consecutive years and has been running at a loss continuously during that three-year period, may be declared as a sick industry by the Government of Nepal based on prescribed criteria and following the prescribed procedure.

(2) If, upon the scheme or project proposal submitted by the industry under sub-section (1) Deleted by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. and a study conducted by the Ministry, it appears that the industry can be revived by providing certain exemptions, facilities, or concessions, the Government of Nepal may provide exemptions, facilities, or concessions as prescribed for a certain period to rehabilitate, restructure, and manage such industry.

(3) If a cooperative society proposes to operate an industry declared sick by the Government of Nepal under sub-section (1), with the consent of the investor, such industry may be operated through that cooperative society, subject to prescribed conditions, considering the capacity and feasibility of such cooperative society.

40. Classification of Sick Industries: Industries identified under Section 39 may be classified as fully sick, sick, and potentially sick based on prescribed criteria, and necessary arrangements may be made as prescribed for the management of such industries. 41. Facilities, Concessions and Exemptions relating to Sick Industries: Notwithstanding anything written in the prevailing law, for an industry identified as a sick industry under Section 39 or classified under Section 40, the Government of Nepal may grant full or partial exemption from duties, fees, or taxes on machinery, tools, or equipment imported for the expansion, restructuring, or diversification of such industry. 42. Institutional Arrangement relating to Sick Industries: (1) To provide suggestions for the identification, classification, rehabilitation, restructuring, and management of sick industries under this Chapter, the Government of Nepal may form a committee including experts from relevant fields.

(2) The structure, functions, duties, and powers of the committee formed under sub-section (1) shall be as prescribed. Chapter-8

Provisions relating to Penalties and Appeals

In the case of a small industry: twenty-five thousand rupees.

(ga) In the case of a medium industry: fifty thousand rupees.

(gha) In the case of a large industry: one hundred thousand rupees.

(2) If any industry commits an act contrary to its objectives, the body registering the industry Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. may impose a fine on such industry as follows:-

(ka) In the case of a micro enterprise: up to two thousand rupees.

(kha) In the case of a cottage and small industry: up to fifty thousand rupees.

(ga) In the case of a medium-level industry: up to one hundred thousand rupees.

(gha) In the case of a large-level industry: up to five hundred thousand rupees.

(3) If any industry fails to provide information about commencing operations or its commercial production or business within the prescribed period under Section 9, the body registering the industry Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. shall impose a fine as follows:-

(ka) In the case of a micro enterprise: two thousand rupees for every six months.

(kha) In the case of a cottage and small industry: ten thousand rupees for every six months.

(ga) In the case of a medium and large industry: twenty-five thousand rupees for every six months.

(4) If any industry transfers its location without approval under Section 11, or increases capital, enhances capacity, or adds or changes objectives without approval under Section 12, the body registering the industry Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. may impose any of the following fines:-

(ka) In the case of a micro enterprise: five thousand rupees.

(kha) In the case of a cottage and small industry: from twenty-five thousand to fifty thousand rupees.

(ga) In the case of a medium and large industry: from one hundred thousand to three hundred thousand rupees.

(gha) In the case of an industry requiring permission under Section 8: an additional one hundred percent fine on the fine leviable under clause (kha) or (ga).

(5) If any industry fails to provide the prescribed details within the prescribed period under Section 13, the body registering the industry may impose a fine on such industry as follows:-

(ka) For a micro enterprise: one thousand rupees.

(kha) For a cottage and small industry: five thousand rupees.

(ga) For a medium industry: ten thousand rupees.

(gha) For a large industry: twenty-five thousand rupees.

(6) If any industry commits any act contrary to Section 36, the body registering the industry Amended by the

Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. may, at any time, freeze the incentives, exemptions, facilities, or concessions provided to such industry, recover an amount equivalent to such incentives, exemptions, facilities, or concessions, or impose a fine of an amount equivalent thereto.

(7) If any industry fails to fulfill its corporate social responsibility under Section 54, the body registering the industry Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. may impose a fine equal to one and a half percent of the annual net profit of such industry.

An industry failing to fulfill such responsibility for a period exceeding one fiscal year shall be subject to an additional fine of zero point five percent of the annual net profit for each additional year.

(8) If any industry fails to comply with the conditions required to be fulfilled under this Act or the regulations made under this Act, or with directives issued from time to time by the body registering the industry Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024., the body registering the industry may impose a fine on such industry as follows:-

(ka) In the case of a micro enterprise: up to five thousand rupees.

(kha) In the case of a cottage and small industry: from fifty thousand to one hundred fifty thousand rupees.

(ga) In the case of a medium industry: from one hundred fifty thousand to three hundred thousand rupees.

(gha) In the case of a large industry: from two hundred fifty thousand to three hundred thousand rupees.

(9) For an industry committing any other act contrary to this Act or the rules made under this Act, other than those mentioned in this section, the body registering the industry Amended by the Act to Amend Some Nepal Acts relating to Improving Economic and Business Environment and Enhancing Investment, 2024. may impose a fine as follows:-

(ka) In the case of a micro enterprise: up to fifteen thousand rupees.

(kha) In the case of a cottage and small industry: from fifteen thousand to thirty thousand rupees.

(ga) In the case of a medium industry: from thirty thousand to fifty thousand rupees.

(gha) In the case of a large industry: from fifty thousand to one hundred thousand rupees.

(10) When imposing a fine under this section, in the case of an industry requiring permission under Section 8, an additional fine of fifty percent of the fine leviable under this section shall be imposed.

(11) Notwithstanding anything written in this section, the provision relating to imposing fines and taking action against industries registered and regulated by the Province or Local Level shall be as determined by the relevant province or local law. 44. To be Recovered as Government Dues: The amount of fine imposed under this Act shall be recovered as government dues under the prevailing law. 45. Opportunity to Submit Explanation: Before imposing a penalty on any industry under this Chapter, a reasonable opportunity to submit an explanation must be given. 46.

Provision relating to Appeal: (1) If not satisfied with the order of penalty under this Chapter, an appeal may lie to the High Court within thirty-five days from the date of receipt of information about the penalty. (2) In the

case of a decision made by the local level body registering the industry, an appeal may be filed in the concerned District Court; and in the case of a penalty imposed by the provincial body registering the industry and the Department, an appeal may be filed in the concerned High Court. Chapter-9 Miscellaneous 47. Provision relating to Special Economic Zone: Arrangements relating to economic zones, trans-national economic zones, export promotion zones, export processing zones, special economic zones, special trading zones, tourist zones, or any other zones for intensive operation of industrial activities shall be made under the prevailing law. 48. Provision relating to Nepal Business Forum: (1) With the objective of promoting regular dialogue and cooperation between the public and private sectors on matters relating to effective implementation, coordination, and facilitation of policies and laws related to industries and businesses; identifying obstacles, hindrances, and problems arising in business operation and investment enhancement and providing necessary suggestions and recommendations to the government; assisting in the implementation and monitoring of such recommendations; and providing an institutional basis for regular, result-oriented, and transparent dialogue between the public and private sectors, the Government of Nepal may form a Nepal Business Forum, including representation from the private sector. (2) The formation, structure, functions, duties, and powers of the Nepal Business Forum, and other arrangements, shall be as prescribed. 49.

Industrial Manpower: (1) The manpower required by an industry shall be filled from Nepali citizens. (2) Notwithstanding anything written in sub-section (1), if manpower possessing a specific skill or expertise required by the industry is not available among Nepali citizens even after publishing an advertisement in a national-level newspaper, or for a position at a high management level, such industry may appoint foreign citizens for a maximum of five years, subject to a work permit under the prevailing labor law, upon the recommendation of the Department under sub-section (3). (3) For the purpose of sub-section (2), while recommending, the body registering the industry must confirm that an effort has been made to fill the required manpower with the demanded skill or expertise from Nepali citizens, that such skilled or expert manpower is necessary for the industry, and that such manpower is not available within Nepal, and then recommend to the Department of Labor for a work permit. (4) If a foreign citizen appointed under sub-section (2) is a specialized technician and such manpower is not available within Nepal, after obtaining approval under sub-section (3), such manpower may be reappointed for an additional period of up to two years. (5) If a foreign citizen is appointed in any industry under sub-section (2), such person may take out of Nepal seventy percent of the remuneration received by them in convertible foreign currency. (6) Workers employed in an industry shall not engage in any type of activity that hinders or obstructs the operation of the industry and its production. Workers employed in the industry shall place their demands before the management peacefully, completing the procedure determined by the prevailing labor law, and resolve them through mutual understanding. (7) Individual or collective disputes arising between workers employed in an industry and the industry shall be resolved according to the prevailing labor law. (8) If any activity occurs due to workers that hinders or obstructs the operation of the industry and its production, causing the industry to shut down, the concerned industry or establishment shall not be obliged to provide remuneration to the workers and employees who caused the shut-down or did not work for the period they did not work. 50.

Amended by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2024. May Produce by Contracting: (1) Industries, firms, companies, or establishments registered under the prevailing law with similar objectives may, by entering into contracts or sub-contracts with each other, produce or cause to produce goods or services. (2) If any quantity of goods or services is produced on the basis of a contract or sub-contract under sub-section (1) for an export-oriented industry, fulfilling the prescribed criteria, such industry may also be provided incentives, exemptions, facilities, and concessions as prescribed. (3) Other

arrangements relating to production by contract or sub-contract shall be as prescribed. 51. Industrial and Investment Promotion Fund: (1) The Government of Nepal shall establish an Industrial and Investment Promotion Fund for the promotion and protection of industrial investment in the country. (2) The Fund under sub-section (1) shall consist of the following amounts: (ka) Amount received from the Government of Nepal. (kha) Amount received from domestic associations, institutions, or individuals. (ga) Amount received or remaining in the Micro, Cottage and Small Enterprise Development Fund, Micro, Cottage and Small Industry Loan Disbursement Fund, Technology Development Fund, Women Entrepreneurship Development Fund, Venture Capital Fund, Sick Industry Rehabilitation, Restructuring and Management Fund, and Industrial Investment Protection and Promotion Fund existing at the time of commencement of this Act, from investment returns. (gha) Amount from bilateral or multilateral grants or assistance received from foreign governments and international organizations. Provided that prior approval of the Ministry of Finance, Government of Nepal, must be obtained before receiving grants or assistance from foreign governments and international organizations. (3) The amount of the Fund under sub-section (1) may be expended on the following tasks: (ka) Development of micro enterprises, cottage and small industries. (kha) Technology development. (ga) Industrial promotion. (gha) Rehabilitation, restructuring, and management of sick industries. (nga) Women entrepreneurship development. (4) When expending the Fund amount on tasks under sub-section (3), investment and expenditure must be made subject to the approved annual program of the Fund. (5) Other arrangements relating to the operation and management of the Fund shall be as prescribed. 52. Provincial Industrial and Investment Promotion Fund: (1) The Provincial Government may establish a Provincial Industrial and Investment Promotion Fund for the promotion and protection of industrial investment in the province. (2) The operation and management of the Fund established under sub-section (1) shall be according to provincial law. (3) The amount of the Fund under sub-section (1) may be expended on the tasks mentioned in sub-section (3) of Section 51. 53.

Not to Provide Duplicate Facilities: (1) When providing services, facilities, or concessions to any industry by the Government of Nepal or Provincial Government under this Act or the prevailing law, no service, facility, or concession that is duplicative shall be provided. (2) Information about services, facilities, or concessions provided to any industry under this Act by the Government of Nepal shall be given to the relevant ministry or body of the province where such industry is located, and information about services, facilities, or concessions provided to any industry under provincial law by the Provincial Government shall be given to the Department. 54. Provision relating to Corporate Social Responsibility: (1) A medium or large industry, or a cottage or small industry with It may publish and, as necessary, amend, add to, subtract from, or modify the schedule. 66. Matters under this Act: Matters provided for in this Act shall be dealt with in accordance with this Act, and other matters shall be dealt with in accordance with the prevailing law. 67. Power to make Rules: The Government of Nepal may make necessary Rules for the implementation of this Act. 68. Power to formulate and implement Directives, Procedures, or Standards: (1) The Government of Nepal may, subject to this Act and the Rules framed under this Act, formulate and implement Directives, Procedures, or Standards as necessary on the following matters to facilitate and simplify the work and proceedings related to industrial administration: (a) Registration and regulation of industries, (b) Promotion of domestic production, (c) Incentives, exemptions, facilities, or concessions to be provided to industries, (d) Relating to sick industries, (e) Relating to industrial areas, industrial corridors, industrial clusters, and industrial villages, Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2024.(e1) Relating to registration and regulation of startup enterprises, Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2024.(e2) Relating to the establishment, operation, and regulation of business incubation centers. (f) Operation and management of the Fund, (g) Use of electronic means in service delivery, (h) Automatic

process of investment approval, (i) Operation of the Nepal Business Forum, (j) Operation of the Single Point Service Center, (k) Relating to corporate social responsibility. (2) Notwithstanding anything contained in subsection (1), the Ministry may, in relation to the process of electronic service delivery as well, formulate and implement a necessary Standard Operating Procedure. 69. Repeal and Saving: (1) The Industrial Enterprises Act, 2073 is hereby repealed. (2) All acts and proceedings done under the Industrial Enterprises Act, 2073 shall be deemed to have been done under this Act. Schedule-1 (Relating to Section 8) Industries Requiring Permission 1.

Industry producing arms and ammunition, gunpowder, or explosive substances, 2. Industry engaged in security printing, currency, and coin production, 3. Industry producing goods where the main raw material is cigarette, bidi, khaini, cigar, and tobacco products, and electronic cigarettes, 4. Industry producing microbrewery, beer, alcohol, or alcoholic substances, 5. Industry engaged in the extraction and processing of stone aggregates and sand, 6. Industry producing radio communication related equipment, 7. Industries such as extraction of precious minerals and petroleum substances, 8. Industry engaged in refilling Liquefied Petroleum Gas (LPG), 9. All types of industries producing drones or providing services through drones, 10. Other industries requiring permission as per the prevailing law. Schedule-2 (Relating to Clause (b) of Subsection (1) of Section 17) Cottage and Small Industries 1. Handloom, pedal loom, semi-automatic loom operated by hand or foot; wrapping of cloth; dyeing, printing, sewing (excluding readymade garments) and weaving done by traditional methods, 2. Hand-woven products from wool and silk: radi, pakhi, carpets, pashmina, garments, handmade paper and articles based on them, 3. Articles based on traditional arts, 4. Traditional sculpture, 5. Handmade utensils and handicraft items from metals such as copper, brass, bell metal, bronze, and German silver, 6. Handmade utensils and traditional tools made of iron for household use, such as knives, chulesi, khukuri, sickles, hoes, spades, 7. Handmade ornaments, articles, and utensils from gold or silver (including those set with precious, semi-precious, and ordinary stones), 8. Industry for cutting precious, semi-precious, and ordinary stones available domestically, handmade articles from rural tanning/leather, 9. Industries based on natural fibers such as jute, sabai grass, choya, babiyo, cotton thread, allo, etc., 10. Stone art (articles carved from stone), 11. Paubha, thangka paintings, and other traditional paintings, 12. Masks and dolls and toys representing traditional culture, 13. Various types of handicraft items representing traditional culture, musical instruments, and arts, 14. Artistic objects of wood, bone and horn, clay, rock and minerals, ceramics and earthenware, 15. Handmade brick industry. Schedule-3 (Relating to Clause (a) of Subsection (2) of Section 17) Energy-Based Industries 1. Industry producing energy from water resources, wind, solar power, coal, natural oil and fuel or gas, biomass, or other sources; industry manufacturing machines/equipment used for producing such energy, 2. Electricity transmission line, 3. Electricity distribution system, 4. Biogas-based energy, 5. Electrical energy produced as a by-product of the sugar industry, 6. Conducting energy feasibility studies.

Schedule-4 (Relating to Clause (c) of Subsection (2) of Section 17) Agriculture and Forest Produce-Based Industries 1. Fruit farming or fruit processing, 2. Production, processing, and storage of food items, 3. Animal husbandry, poultry farming (including ostrich), animal and bird breeding, hatchery business, and meat production and processing, 4. Milk production and dairy product processing industry (including production of dairy-based items), 5. Fisheries, fish seed production, processing, and packaging, 6. Industry producing animal and bird feed where agricultural produce is the main raw material, 7. Sericulture and silk processing, 8. Tea plantation, tea processing, 9. Coffee farming, coffee processing, 10. Herb farming, herb processing, 11. Vegetable seed production, 12. Vegetable farming, vegetable processing, 13. Establishment and operation of greenhouses, 14. Beekeeping (bee breeding, honey production and processing), 15. Floriculture, flower processing (including garland making, decoration, bouquet making, and seed production), 16. Nursery

business, establishment, conservation, and management of botanical gardens, plant breeding business (including tissue culture), 17. Rubber farming, initial processing and operation of rubber, 18. Cold storage, operation and management of agricultural market, 19. Establishment and management of community, tenancy, partnership, private forest, and agroforestry; other non-timber forest produce, 20. Commercial farming and processing of cash crops (such as sugarcane, cotton, sunn hemp, sanjivani, sweet sorghum, stevia rebaudiana, tobacco, jute, cardamom, ginger, saffron, oilseeds, spice crops, pulses, etc., and their seed production), 21. Rattan, bamboo farming; cane, bamboo, and other natural fiber products, 22. Seed processing, 23. Timber industries including sawmill, furniture, 24. Wood-based industries such as parquet, seasoning, treatment plant, plywood, composite board, etc., 25. Industries based on non-timber forest produce including paper, resin, etc., 26. Mushroom, industry producing plants through new technology (tissue culture), agroforestry, 27. Cotton farming, production and processing of cotton and cotton seeds, Added by the Act to Amend Some Nepal Acts Relating to Improving Economic and Business Environment and Enhancing Investment, 2024.28. Agricultural technology and mechanization. Schedule-5 (Relating to Clause (e) of Subsection (2) of Section 17) Infrastructure Industries 1. Roads, bridges, tunnels, 2. Ropeways, railways, trams, trolleybuses, monorails, and sliding cars, 3. Air routes/airports, 4. Industrial structures and infrastructure complex, 5. Convention center, 6. Drinking water supply and distribution, 7. Irrigation infrastructure, 8. Sports complex, stadium, 9. Vehicle parking lot, parking building, 10. Export processing zone, 11. Special economic zone, 12. Cargo complex, 13. Wastewater treatment industry (waste water treatment plant), 14. Telephone tower, optical fiber network, satellite, satellite transmission center, 15. Houses and residential buildings, 16. Film city construction, film studio construction, 17. Commercial complex, 18. Private warehouse, 19.

Construction, arrangement, and operation of infrastructure for fuel and gas supply pipelines, 20. Construction, arrangement, and operation of infrastructure for power houses and power transmission lines. Schedule-6 (Relating to Clause (f) of Subsection (2) of Section 17) Tourism Industries 1. Tourist accommodation, motels, hotels, resorts, bars, and restaurants, 2. Travel agency, tour operator, healing center, casino, massage, spa, 3. Adventure tourism: trekking, skiing, paragliding, water rafting, hot air ballooning, canyoning, parasailing, horseback riding, elephant riding, bungee jumping, mountain climbing, zipflyer, ultralight, skydiving, skydiving, and other similar adventure sports, 4. Industry engaged in constructing and operating cable cars, 5. Golf course, polo, pony trekking, hiking, cycling, 6. Rural tourism, home stay, and ecotourism, agritourism, 7. Cultural, religious, conference, and sports tourism, 8. Amusement park, water park, 9. Wildlife reserve, 10. Museum, Added by the Notice published in the Nepal Gazette dated 2077.04.19.11. Cruise, water entertainment, and boating. Schedule-7 (Relating to Clause (g) of Subsection (2) of Section 17) Industries Based on Information Technology, Communication Technology, and Broadcasting Technology Section (a) Information Technology Industries: (1) Technology Park, (2) IT Park, (3) Biotech Park, (4) Software development, (5) Computer and related services, (6) Data processing, (7) Cyber café, (8) Digital mapping, (9) Business Process Outsourcing (BPO), Knowledge Process Outsourcing (KPO), (10) Data center, data mining, cloud computing, (11) Digital signature certified agency, (12) Web portal, web design service, web hosting, online classified advertising service. Section (b) Industries Based on Communication Technology: (1) Internet Service Provider (ISP), (2) Telephone, mobile phone, mobile satellite phone operator service, (3) Teleport service, (4) Satellite installation and operation, satellite transmission center establishment, VSAT service, (5) Broadband infrastructure, telecom tower, optical network, satellite network, (6) Social network, online message, video call, conference. Section (c) Industries Based on Broadcasting Technology: (1) FM radio, digital radio service, (2) Digital terrestrial television, satellite television, cable television, (3) IP television, online service, (4) Digital cable television, network, Direct-to-Home (DTH) satellite service, MMDS

network, Digital Television (DTTV) network, (5) Recording studio, broadcast studio, (6) Print media industry, audio-visual content production industry, advertisement production industry, (7) Film or documentary production. Schedule-8 (Relating to Clause (j) of Subsection (2) of Section 17) Service-Based Industries 1. Mechanical workshop, 2. Printing press and printing related services, 3. Professional research and development, management, engineering and design, legal, accounting, auditing, teaching training, educational and technical consultancy services, 4. Ginning and baling business, 5. Exhibition service, 6. Cultural and entertainment business, 7.

Construction business, 8. Public transportation business, 9. Photography, 10. Hospital, 11. Nursing home, clinic, polyclinic, rehabilitation home operation, physiotherapy clinic, Ayurvedic and other alternative hospitals, 12. Operation of physical exercise, yoga-meditation, and practice centers, 13. Educational and training institutions, 14. Library, archives, and museum services, 15. Laboratory, 16. Air transportation service, 17. Sports service, swimming pool, 18. Cold storage operation, 19. House wiring, electrical fitting, and repair, 20. Waste collection and sanitation, waste recycling, 21. Business of purchasing land, developing it, and selling it, 22. Rental, maintenance, and operation of heavy equipment related to construction, 23. Veterinary service, 24. Battery recharging, 25. Health examination (services like X-ray, CT scan, MRI, ultrasound) and health examination laboratory, 26. Businesses engaged in operating already constructed infrastructures (such as: convention halls, drinking water supply, fuel and fuel gas supply pipelines, godowns and storage, airports, bus parks, stadiums, sports complexes, ropeways, roads, irrigation, electricity transmission, power houses, railway services, cargo complexes, Inland Clearance Depot (ICD) like services), 27. Food grain hulling, grinding, pressing, and packaging, 28. Dyeing, sizing, and printing of cloth and yarn (except when done by a weaving industry for its own purpose), 29. Transportation and cargo business or service, 30. Customs agent service, Amended by the Act to Amend Some Nepal Acts Relating to Improving Economic and Business Environment and Enhancing Investment, 2024.31. Packaging, refilling service, refilling of natural gas (LNG, CNG) (including LPG gas refilling and vehicle gas refilling stations) or distribution, 32. Courier service, 33. Dry cleaning business, 34. Beauty parlor, 35. Interior decoration, 36. Business providing security service, 37. Publication service, 38. Advertising service, 39. Service of preparing advertising materials, 40. Mass communication service, 41. Production and broadcast of programs and documentary telefilms made for television broadcast, 42. Soil testing service, 43. Water treatment, transportation, and distribution service, 44. Health club, 45. Operation of zoological, geological, biotech-related parks, 46. Business incubation service, 47. Operation of trading business complex, 48. Foreign employment service, 49. Cinema hall (including multiplex), 50. Theater (including multiplex), 51. Tailoring and weaving (including boutique), 52. Electrical survey, 53. Mineral study and research, 54. Research and development service, 55. Sanitation service, 56. Removed by the Notice published in the Nepal Gazette dated 2077.12.09 , 57. Removed by the Notice published in the Nepal Gazette dated 2077.12.09 , industry business providing services to the general public using electronic means (online or software or apps or other similar means), 58. Machinery equipment leasing service, 59.

Service businesses such as cut-to-length seats, photo film slitting, photo paper slitting, tissue paper slitting, ball bearing assembly, and repackaging of ready-made goods imported in bulk, 60. Business of cloth and yarn dyeing, yarn sizing, and printing on cloth (except when done by a weaving industry for its own purpose), 61. Veterinary service carried out commercially, 62. Service apartment, 63. Food court, catering, Removed by the Notice published in the Nepal Gazette dated 2077.12.09 , 64. Equipment repair and installation, ready-mix concrete, export house, technology and innovation center, service providing furnished office space, Added by the Notice published in the Nepal Gazette dated 2077.04.19.65. Investment company. Added by the Notice published in the Nepal Gazette dated 2080.10.18.66. Ride sharing service. Added by the Act to

Amend Some Nepal Acts Relating to Improving Economic and Business Environment and Enhancing Investment, 2024.⁶⁷ Fund management, Added by the Act to Amend Some Nepal Acts Relating to Improving Economic and Business Environment and Enhancing Investment, 2024.⁶⁸ Asset management.

Schedule-9 (Relating to Section 19) Industries of National Priority

1. Cottage and small industries,
2. Energy-based industries,
3. Agriculture and forest produce-based industries,
4. Infrastructure industries,
5. Export-oriented industries,
6. Adventure tourism with infrastructure, rural tourism, ecotourism, golf course, polo, pony trekking, hiking tourism, rafting, conference tourism, sports tourism, religious tourism, cultural tourism, construction and operation of amusement parks, wildlife reserves, Added by the Act to Amend Some Nepal Acts Relating to Improving Economic and Business Environment and Enhancing Investment, 2024.star-rated hotels, ecotourism resorts, cruise and water entertainment,
7. Mining and mineral-based industries, exploration and production of petroleum, natural gas, and fuel,
8. Industry producing clinker and cement using domestic limestone, pulp and paper, sugar, chemical fertilizers (excluding mixing), organic fertilizers, shoes and slippers, yarn production related, animal husbandry, fish farming, poultry farming and beekeeping related, floriculture, initial processing of rubber based on domestic raw materials and production of rubber goods, powdered milk, pharmaceutical production, processing of waste and discarded items, industry producing fuel-saving equipment, industry producing pollution-reducing equipment, and industry producing tools and equipment used by persons with disabilities, industry manufacturing agricultural tools and industrial machinery, industry producing electric vehicles, industry producing snake venom antidote, industry producing artificial eye lenses,
9. Hospitals, nursing homes, veterinary hospitals and clinics, health examination services, health laboratories, biological research centers, and teaching and training institutions established outside the Kathmandu Valley, metropolitan area, and sub-metropolitan areas of the Terai region,
10. Information technology industry,
- 11.

Industries established in industrial areas, special economic zones, and industrial villages constructed and operated by the private sector,

12. Industries producing goods identified by the Government of Nepal, by setting necessary criteria, as having high price and low weight/volume, and specified by publishing a notice in the Nepal Gazette,
13. Industries producing goods or services determined by the National Trade Integration Strategy (NTIS) approved by the Government of Nepal,
14. Film production,
15. Added by the Notice published in the Nepal Gazette dated 2078/04/25.Industry producing vaccines,
16. Added by the Notice published in the Nepal Gazette dated 2078/04/25.Industry producing liquid oxygen.
17. Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2024.National and international air service, cable car.

Schedule-10 Classification of Districts Based on Industrial Development (Relating to Clause (c) of Subsection (2) of Section 24)

(a) Very Underdeveloped Region

1. Darchula
2. Baitadi
3. Bajhang
4. Bajura
5. Achham
6. Doti
7. Mugu
8. Dolpa
9. Humla
10. Jumla
11. Kalikot
12. Jajarkot
13. Rolpa
14. Eastern Rukum
15. Western Rukum
16. Mustang
17. Manang
18. Solukhumbu
19. Khotang
20. Okhaldhunga
21. Taplejung
22. Bhojpur
23. Panchthar

(b) Underdeveloped Region

1. Dadeldhura
2. Pyuthan
3. Myagdi
4. Dailekh
5. Parbat
6. Lamjung
7. Salyan
8. Gulmi
9. Baglung
10. Gorkha
11. Dolakha
12. Ramechhap
13. Sindhuli
14. Sindhupalchok
15. Rasuwa
16. Dhankuta
17. Sankhuwasabha
18. Tehrathum

(c) Less Developed Region

1. Kanchanpur
2. Kailali
3. Bardiya
4. Dang
5. Surkhet
6. Palpa
7. Arghakhanchi
8. Syangja
9. Kapilvastu
10. Tanahun
11. Nuwakot
12. Dhading
13. Kavrepalanchok
14. Rautahat
15. Sarlahi
16. Mahottari
17. Siraha
18. Saptari
19. Udayapur
20. Ilam